

SLC Agricola

2025 Farm Day Feedback; 2nd Crop Yields Revised Upward; Land Appraisal +7.1% y/y

We attended SLC's annual investor meeting and site visit called Farm Day. In general terms, the company sees ROEs at sustainable levels of 15-20% while growing planted area via new leasing contracts. They increased yield guidance for the cotton and corn crops by 9.6% and 7.8%, respectively, and released their annual land appraisal, showing a 7.1% increase in the value of the land (NAV guidance now at R\$32.9/share). For more details on the event, please see below. We remain Neutral on SLC Agricola.

- Growth Perspectives.** Since the IPO in 2007, planted area has grown at a CAGR of 10.9%, reaching 830,000 hectares in the 2025/26 season. In the same period, net revenues grew by a CAGR of 17%, whereas EBITDA grew by an even higher CAGR of 20%. Margins-wise, between 2007-2016, the company was operating at a 25% average EBITDA margin during its growth phase, versus 35% since 2017 during its current efficiency phase. Management is confident that this margin is sustainable. ROE-wise, as the company leases more land and becomes increasingly asset light, farming ROE should increase in coming years, while land ROE may slightly decrease. On this front, management believes that a 15-20% ROE is sustainable, in line with the returns of the largest national banks, as pointed out by the CEO. This translates into four capital allocation priorities: yield growth in mature areas; pasture conversion into arable land; dividend payments and share repurchases; and new projects (including the seeds and cattle business units).
- 2024/25 Crop Outlook.** In the material fact published last night, considering current estimates versus the forecasts made by the company back in Q2, there were no adjustments to soybeans (3.958 kgs per hectare), a slight decrease in cotton first crop yields (-1.8%) explained by a "veranico" occurrence in the Bz Midwest, but more than offset by an increase in cotton second crop yields (+9.6%), and a 7.8% increase in second crop corn estimates (7.927 kgs per hectare). Looking ahead, in the medium term, management is confident that it could bring cotton and corn yields to new records, of 2.100 kgs and 8.400 kgs per hectare, respectively. A key initiative to boost cotton yields is the project to increase irrigation, also discussed in the Material Fact published yesterday. The company currently owns 16,000 hectares of irrigated land, will add 3.4k hectares in the 2025/26 season, and it plans to irrigate almost 34k hectares in the "next years." Irrigation should be concentrated in SLC's Northeastern farms, which are more exposed to droughts. More details about this schedule would be much appreciated given the major impact it can have on capex for the company.
- ESG initiatives.** Circular economy and reduction of residues are key initiatives. Recycling at the farms went from 30% to almost 100% in recent years. On the carbon footprint front, the company remains committed to become net zero in scopes 1 and 2 by 2030. Of note, the company stopped acquiring land to transform back in 2015 and ceased to transform the remaining

Neutral

SLCE3.SA, SLCE3 BZ
Price (08 Jul 25):R\$18.38

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landbank in 2020, hence the zero deforestation commitment in place since August 2021. Capex-wise, in 2025 the company invested R\$ 242mn in machinery with higher technology that reduces fuel consumption. On this front, the increase in the biodiesel blending mandate from B14 to B15 should also help reduce the company's footprint. In terms of compensation areas, the company protects 112k hectares, or roughly 36% of the physical area owned by the company, which is key to reduce emissions.

- **SLC Seeds.** Between 2013-2018, the company produced soybean and cotton seeds for its own consumption. From 2019 onward, the company began selling seeds to third parties. Today, 58% of the soybean seeds are sold to third parties, for instance. Current installed capacity is at 2.1 mm soybean seed bags and 25k bags of cotton seeds. Seed production has many synergies with the company's traditional farming operations. It also has the benefit of reducing costs for the operation as a whole, especially now that industrially-treated, higher margin varieties are gaining share in the mix.
- **Commodities Scenario.** For 2025/26, a smaller soybean deficit is expected – only 3 mtons vs 10+ mtons in the previous three years. This could be supportive of prices in the short term, but it seems a bit early to say. On the corn front, given the comeback of the “retenciones” tax in Argentina, it was noted that Brazil's share of global exports could increase. Finally, for cotton, in 2025/26, a small global deficit is expected, and it was noted that Brazil also has increased its market share of world exports. In the US, cotton costs are higher, and though prices offer a small premium vs Bz cotton, this has not been enough in the past few years, hence the increase in Brazilian exports. Yields-wise, Australia and China remain more competitive than Brazil, but production in those two countries is almost 90% irrigated versus only 9% irrigated area domestically. This, once again, conveys the importance of investing in irrigation in its farms, according to SLC management.
- **New technologies.** Management estimates that, in the 2024/25 crop year, there were R\$ 90mm in net gains related to new technologies. Examples include sensors that map crop plagues and allow a more precise use of pesticides. Or special planes and drones that allow for nocturnal application of fertilizers, which is far more efficient than applying during the day. Or automation of applications, reducing human interference on choices that depend on several factors (is it raining or not? is it a chemical or biological pesticide? is it close to expiration date or not? And so on). Results-wise, in 20k hectares of testing areas, 74% less herbicide was used during the 2024/25 season – which represents a major opportunity for cost cuts. This was done in partnership with agtech startup Moray.
- **Q&A highlights.** (1) Management does not foresee significant diseconomies of scale as planted area grows given the modular way it manages its farms. (2) Irrigation can increase cash generation by R\$ 6-7k per hectare, according to management. (3) Intacta seed technology was mentioned as an up and coming one that could help reduce yield losses amid volatile weather. (4) Increase in land prices was less patchy than last year, when farms in the MATOPIBA benefited from a higher increase in prices than others. (5) Sales-leaseback of own land is “always a possibility,” but there seems to be nothing on the radar for now. (6) If the company was to adopt precision application for 100% of its area, management estimates that a 25% reduction in pesticide costs could be expected.

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SLC Agricola(SLCE3.SA/R\$18.38/N)

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SLC Agricola (SLCE3.SA, SLCE3 BZ) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 27, 2007. All share prices are as of market close on the previous business day.

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